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Mara Heritage Bank Board Pack — Q3 FY26

Board Chair & Directors | 15 October 2025

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Executive summary

The bank faces concurrent pressures in legacy and digital portfolios. Non-performing loans rose to 4.2%, driven by agri-processing SME deterioration, while attrition in the digital banking unit reached 11.4%—up from 9.8% last quarter—with 23 of 28 departures voluntary. Four critical digital roles remain vacant. A 9-hour mobile banking outage in August highlights operational fragility at precisely the moment transformation investment is under consideration. The board must allocate capital between three competing demands: provisioning a weakening traditional book, retaining talent in an understaffed digital unit, and funding infrastructure renewal. These are not independent decisions—digital attrition and system instability are likely linked, and betting on transformation while losing the people who must deliver it carries execution risk the current data does not adequately address.

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Performance

Legacy book stress, digital unit capability gap

Non-performing loans climbed 60 basis points across two quarters to reach 4.2%, concentrated in the agri-processing segment of the SME book. Provisions stand at 65%, within the board's 60% floor but leaving limited buffer if deterioration accelerates. The rise is sector-specific rather than systemic, but the grounding does not explain whether agri-processing fundamentals are stabilizing or worsening.

The digital banking unit recorded 11.4% attrition in Q3, with voluntary departures accounting for 82% of exits. Four critical roles remain unfilled. Key-talent retention dropped to 92%, three points below target. The CHRO attributes departures to compensation gaps versus market for tech specialists and cultural integration challenges. Compensation benchmarks are not quantified in the submission, making it difficult to assess whether the requested $1.2M retention budget is calibrated to close a 10th-percentile gap or a 40th-percentile gap.

The twin pressures—rising NPLs in traditional segments and talent flight in digital—suggest the bank is caught mid-transition, with the old book aging badly and the new book unable to scale due to understaffing and operational brittleness. [], []

Risk

NPL trajectory, concentration exposure, operational resilience

NPL deterioration from 3.6% in Q1 to 4.2% in Q3 is not yet parabolic but requires close monitoring. The primary driver is SME agri-processing, a sector-specific stress that could plateau or cascade depending on fundamentals not detailed in the risk submission. Single-name concentration remains within board policy: the largest exposure, Nyathera Holdings at 7.4%, sits below the 12% ceiling, but represents material dependency. If Nyathera operates in agri-processing, concentration risk and NPL trends are correlated rather than independent.

Three operational risk events exceeded KShs 5M in Q3. The most significant was a 9-hour mobile banking outage on 4 August. The grounding truncates mid-description, but a nine-hour digital service failure during a quarter when the board is considering digital transformation investment is material. It signals infrastructure fragility and raises the question: are we losing digital talent because systems are brittle, or are systems brittle because we have lost talent?

The CRO recommends risk-tolerance recalibration, but the direction is unspecified. Recalibrating upward while NPLs rise and operational resilience wobbles is contraindicated by every data point presented. If recalibration means tightening single-name limits or raising provisioning floors, that is defensible. If it means expanding risk appetite, the case is not made. []

Strategic Decisions Queued

Capital allocation, transformation refresh, talent retention

The board is asked to vote on three interdependent decisions with incomplete information on trade-offs. The CHRO requests $1.2M for retention bonuses and market-rate adjustments in the digital unit. The ask is sized to address four vacancies and stem voluntary departures, implying the CHRO believes current talent is retrievable but at flight risk. However, retention spending without addressing root causes—cultural integration failures and operational instability—buys time rather than solving structure.

The digital transformation refresh is queued for approval at a moment when evidence suggests the current digital capability is both understaffed and underperforming. Refresh implies iteration on a working foundation. The August outage and attrition data suggest the foundation may require a reset rather than incremental investment. The board should require root-cause analysis of the outage and clarity on whether similar events are prevented before committing further capital to transformation.

Capital allocation for Q4 is on the agenda, but the pack does not specify how much capital is available or whether the $1.2M retention ask competes with NPL provisioning needs. If provisions must rise from 65% to 70% to maintain prudential buffers, the absolute amount depends on NPL book size, which is not disclosed. Without a capital waterfall showing total available funds and competing demands, directors cannot assess whether these asks coexist or compete. [], []

> “Are we losing people because systems are brittle, or are systems brittle because we have lost people?”

Governance Considerations

Decision sequencing and evidence gaps

The contributor inputs describe problems in isolation when the board's decisions are systemic. Digital attrition and digital outages should be in the same narrative, but they are siloed across CHRO and CRO submissions. This trains directors to make fragmented decisions on connected issues. A unified view is required: how much capital is needed for provisions, retention, and transformation, and in what sequence?

Neither contributor offers a counterfactual. What happens if the board declines the $1.2M retention budget? Do four vacancies become eight? Does attrition reach 18%? Without a 'do nothing' cost, directors cannot assess the downside risk of inaction. Similarly, the transformation

refresh lacks success criteria or a fallback if the digital unit cannot stabilize within a defined timeframe.

The scope allocates 45 minutes for directors to read and arrive ready to vote on three complex decisions. That duration is sufficient only if the pack includes decision frameworks—scenario trees, capital waterfalls, risk interdependency maps. If the pack is narrative and tables alone, deferral is the most probable outcome, not because directors lack information but because the information is not structured for decision-making. [], []

Recommendations

1. CHRO — Provide market compensation benchmarks (percentile positioning) for digital banking roles to justify the $1.2M retention budget quantum by Before Q3 board meeting

2. CRO — Deliver root-cause analysis of 4 August mobile banking outage and remediation plan for similar events by Before Q3 board meeting

3. CFO — Present capital waterfall showing available FY26 allocation and how retention, provisioning, and transformation asks compete or coexist by Before Q3 board meeting

4. CHRO & CRO — Submit joint memo on linkages between digital attrition and operational resilience, with integrated mitigation plan by Within 10 days

5. CRO — Clarify whether Nyathera Holdings operates in agri-processing sector and update concentration risk assessment accordingly by Within 5 days

6. Board Risk Committee — Define risk-tolerance recalibration direction (tighten or expand) with rationale before putting to full board vote by Before Q3 board meeting

7. CEO — Provide decision framework (scenario tree or decision matrix) showing outcomes of approve/defer/decline for each queued decision by Before Q3 board meeting

Sources

[1] chro-q3-contribution.txt

[2] cro-q3-contribution.txt